

Commentary

May was another month of volatility and challenges. Economic data remained mixed, while confirming the moderation of inflation thus far. The Fed, however, remained paralyzed due to the uncertain effect of the pending tariffs. US duration continued to underperform, putting pressure on our portfolio. Bitcoin, however, broke out to a new all-time high, and, while retreating later in the month, contributed positively to our portfolio.

Foreign exchange positions mostly moved against us. CHFJPY rallied and USDCNH sold off. There was also unusual volatility in Hong Kong, where at one point during the month the one year FX forward moved far below the official 7.75 lower band for spot USDHKD which has been maintained for many decades.

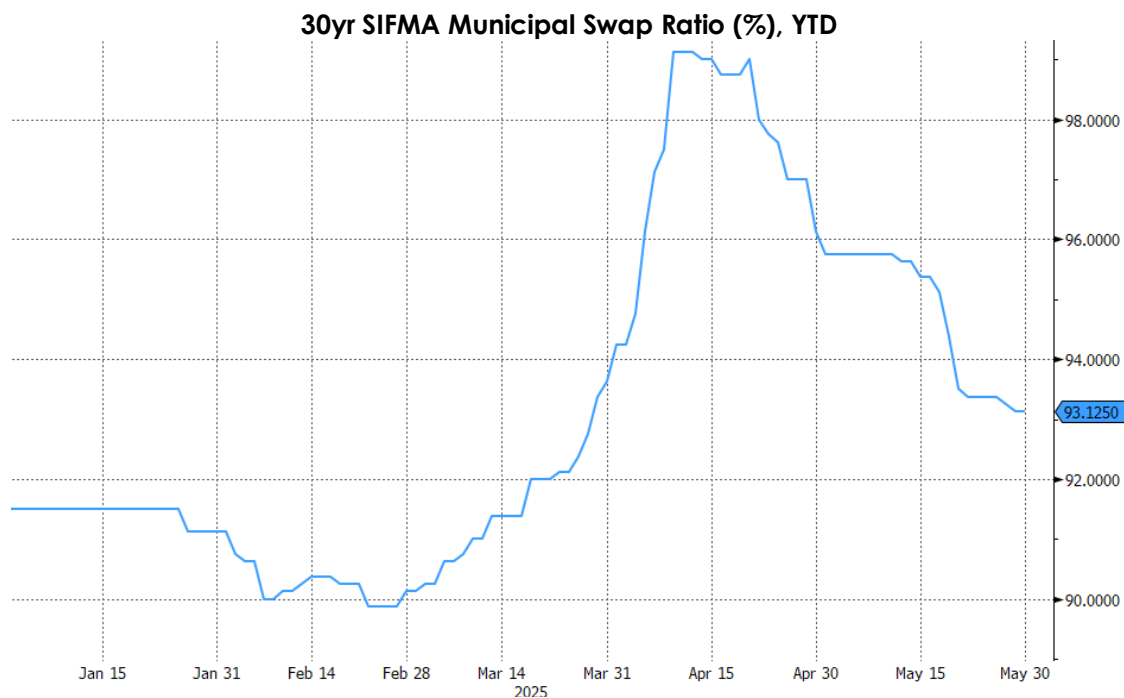
US Dollar vs Chinese Renminbi Spot (USDCNH), YTD



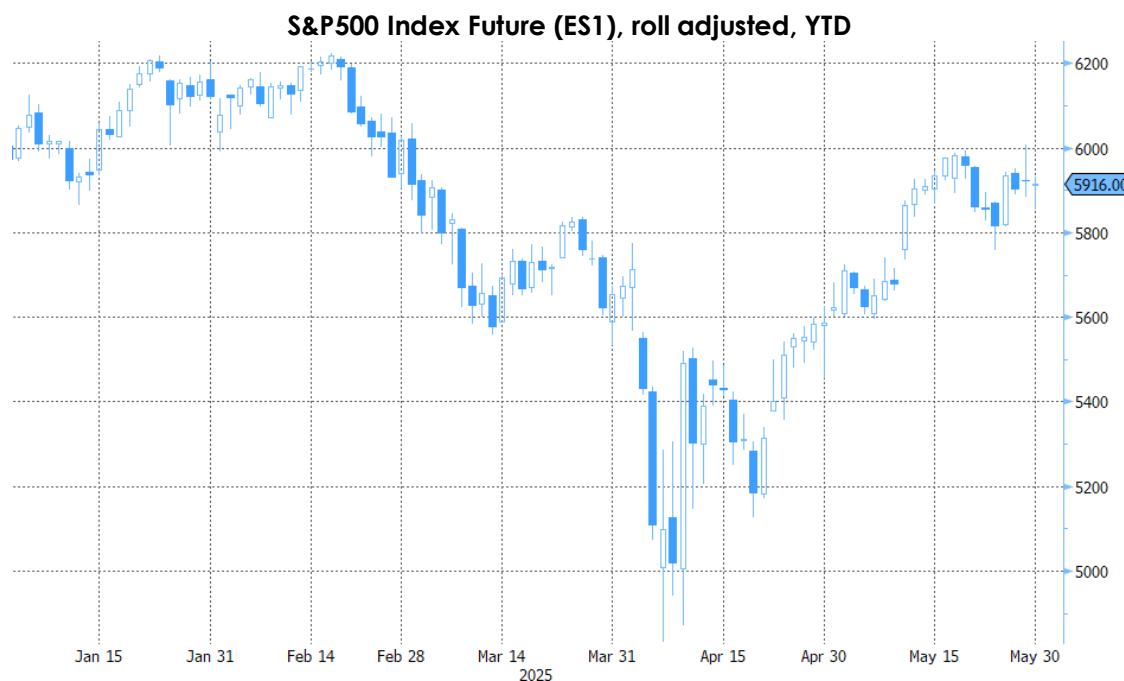
US Dollar vs Hong Kong Dollar 1yr Forward (USDHKD), YTD



A strong positive for the portfolio was that the proposed tax bill made no mention of attacking the tax exemption for municipal securities, and as the typically unfavorable tax season passed the swap carry became favorable again. The percentages then started to normalize in our favor.

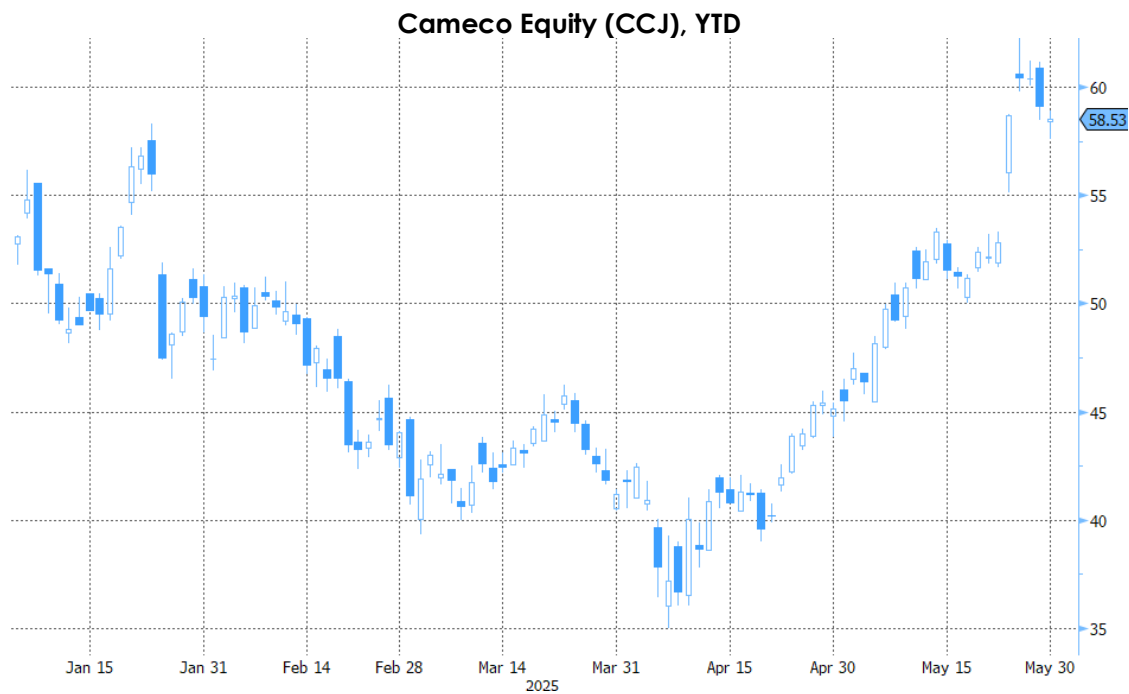


The strong bounce back in the stock market was negative for our short SPX position.



Finally, the commodities complex moved in our favor, including our precious metals and oil positions.

One of the outstanding performers was Uranium miners. Our relatively modest position contributed meaningfully in the month of May, due to executive orders from the administration favoring nuclear energy use.



Overall, despite severe intra-month volatility, the monthly outcome ended relatively mild.

The negative theta from our option positions (US duration & USDCNH) and negative carry from precious metals are being more than offset by positive carry from our interest rate swaps and currency forwards. This allows our portfolio to remain in a more balanced holding pattern, as we wait for employment and other hard data to deteriorate further to cause a dramatic move in interest rates.

Good luck and stay healthy,